

June 9, 2026 12:23 PM GMT

Hong Kong/China Insurance | Asia Pacific

2026 Industry Observation:
Driven by Leading Players

Greater disclosure in solvency reports improves industry visibility. We expect diversified product strategies, optimized investment allocation, and continued industry de-risking, with limited system-wide risks. Leading insurers should sustain their competitive edge.

China insurers must deliver solvency reports with more detailed operating metrics from 1Q26, improving our ability to assess and track listed insurers' performance and the broader industry.

Large insurers leading par product transition towards more diversified product strategy. Over the past two years, listed insurers have largely completed the transition, with >80% of new premiums in par products in 1Q26. Many small and medium-sized (SME) insurers have shown similar trends across channels. However, many SMEs are now revisiting product strategies, with some reinvigorating traditional product sales since 2Q26. We expect the pricing interest rate for current par products to continue declining (from 1.75% to ~1.25%) over the next few quarters, alongside the illustration rate. Large insurers may continue to focus on par products, while SMEs adopt a more balanced mix between par and non-par. By channel, large insurers could maintain their banca edge despite tighter regulation and further optimize payment-period structures, while SMEs need to rethink channel partnerships and cash flow management. The agency channel will remain core for large insurers, with quality improving over time.

Ongoing optimization of investment strategies across accounts amid low-rate, volatile market. Interest rates have stabilized over the past year, and a steeper yield curve could offer some support to insurers. However, bond-trading demand remains strong. Listed insurers have increased equity allocations, taking a more proactive approach in par reserve accounts while maintaining a more prudent strategy in non-par accounts. Large insurers should continue to benefit from an edge in alternative asset investments.

Solvency remains a key constraint, and insurers are improving operations.

Despite some deregulation, solvency pressure could continue to weigh on certain insurers' asset allocation and liability growth, and we see limited scope for solvency rule revisions in 2026. At the industry level, insurers are taking effective measures to mitigate risks and enhance long-term competitiveness, while duration mismatch is unlikely to rank as a near-term priority under the current backdrop. Risks remain concentrated in select pockets, and large insurers should maintain their advantages. We continue to favor high-quality names including Ping An, China Life, and AIA despite short-term headwinds, which should have limited structural impact.

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HONG KONG/CHINA INSURANCE

Asia Pacific

Industry View

Attractive

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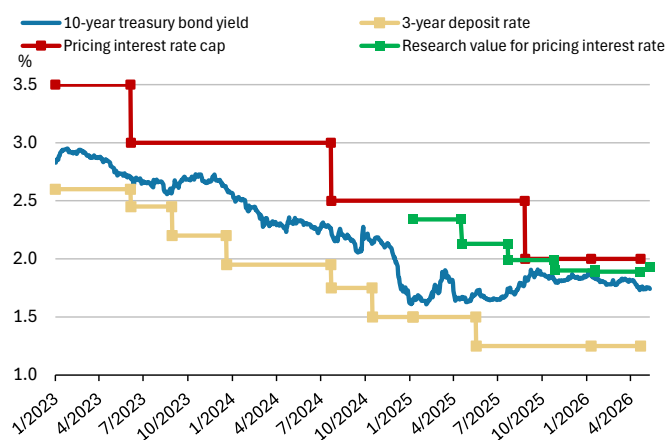
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Large insurers leading industry-wide liability-side transition

Insurers have largely completed shift to par products over past two years at industry level

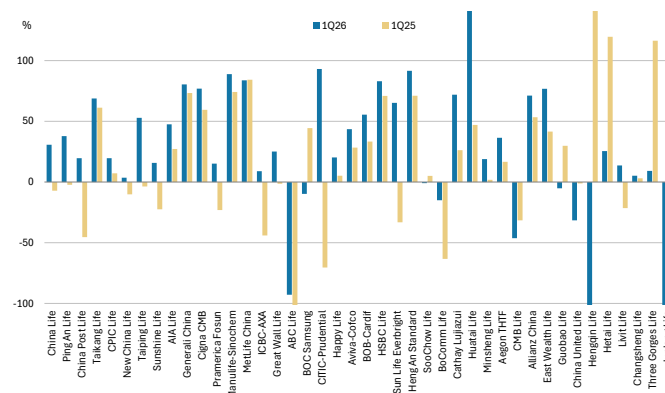
Par products now account for >80% of listed insurers' new business in 2026. Declining long-term interest rates in recent years, together with regulatory guidance, have driven China insurers' product strategy shift from traditional to participating products. While long-term rates remain relatively low this year despite some recovery in 2H25, demand for savings-related insurance remains resilient, as both duration and potential returns exceed bank deposits. As a result, listed insurers have accelerated par product roll-outs since 2H24 and largely completed the transition from traditional to participating products across both agency and banca channels in 2026. In 1Q26, most listed insurers recorded a ~90% par product mix in regular FYP (first-year premiums), up from <50% in 1H25.

Exhibit 1: Insurers' pricing interest rate caps have been declining over the past three years in China



Source: IAC, PBOC, CFETS, Company data, Morgan Stanley Research

Exhibit 2: Par account cash flows as a % of operating cash flows increased across most peers in 1Q26 vs. 1Q25



Source: Company data, Morgan Stanley Research

From an industry-wide perspective, most unlisted insurers have delivered similar trends. 1) Most insurers posted positive YoY operating cash flow growth in 1Q26 ([Exhibit 2](#)), with a ~11% median. We see a material increase in participating products' contribution to operating cash flow in 1Q26 vs. 1Q25 across most names, making par products a key driver of liability-side growth and near-term cash flow improvement. 2) In the banca channel, on which most unlisted insurers rely, par products contributed ~90% of foreign insurers' new premiums and ~70% of unlisted domestic insurers' new premiums ([Exhibit 11](#)).

However, we expect a more diversified product strategy to emerge between large insurers and the rest. We view this round of product transition as more regulator-led, especially as the pricing interest rate gap between traditional and par products narrowed from 50bps to 25bps since 3Q25. SME insurers may shift back to a more balanced par/non-par mix, considering:

- Higher actual cost: although par products carry lower guaranteed liability costs vs. traditional products, actual liability costs (including non-guaranteed components)

are higher, and cutting the fulfillment ratio could undermine competitiveness.

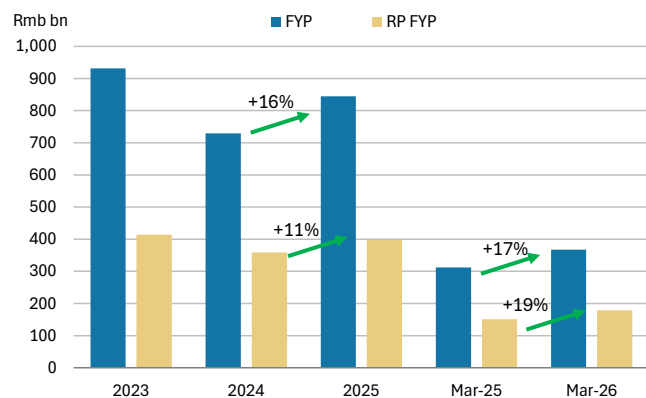
- Customer profit-sharing mechanisms: par products feature profit sharing, which can reduce retained shareholder profits, especially when insurers generate excess investment returns, potentially slowing the de-risking process.
- Potential higher capital requirements: par products can be more capital-intensive than traditional products, especially with more proactive asset allocation.
- Cash flow management challenges: par products are more complex to manage vs. traditional products, particularly for small insurers handling participating fund reserves and surrender risk.

As a result, we expect listed insurers to continue focusing on par products over the longer term, supported by agent channel inertia that ensures product continuity. However, the pricing interest rate could decline to ~1.25% over the next few quarters, likely through regulatory window guidance and product filing management, with some insurers already rolling out such products in 2026. In March 2026, the illustration rate was guided down from 3.9% to 3.5%, and actual dividend payout was ~3.2% for 2025. We expect the illustration rate to decline further to ~3.2% over the next few quarters. For most SME insurers, we expect a more balanced approach between traditional and par products, with some potentially fully shifting back to traditional products in response to shareholder demands.

Clear opportunities in the banca channel, with large insurers maintaining their edge

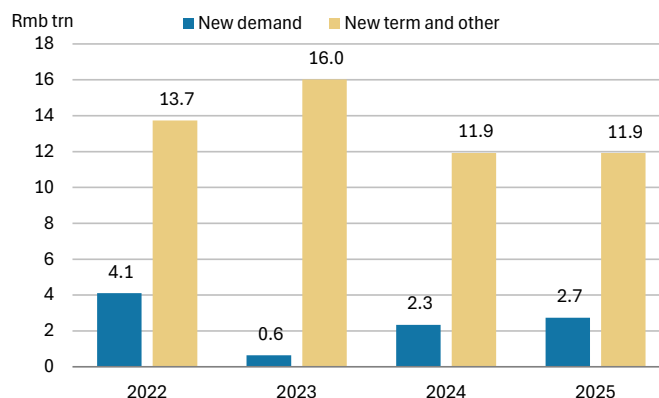
Continued strong banca channel growth at the industry level... Bancassurance rebounded with >15% new premium growth in 2025 after a brief adjustment due to tighter expense regulation (“Bao Xing He Yi”) in late 2023 and early 2024. Momentum carried into 1Q26, with ~17% FYP growth and ~19% RP FYP growth YoY. Higher channel margins and a maturing term deposit base (Exhibit 5 – a large 2023 term deposit cohort matures around 2026) have supported growth.

Exhibit 3: Industry-wide banca channel premiums



Source: NAFR, Morgan Stanley Research

Exhibit 4: More term deposits in China in 2023, with potentially higher demand to reinvest at maturity



Source: NAFR, PBOC, NBS, AMAC, Morgan Stanley Research

...and SME insurers rely heavily on the banca channel. Channel structures have diverged between large insurers and mid-to-small players. Most insurers with assets between Rmb10bn and Rmb1tn derive 50–100% of gross premiums from banca (Exhibit 6), while insurers with assets above Rmb1tn, including most listed players, maintain a more balanced mix – with the agency channel contributing ~60–80% of total premiums – supporting stronger margins and more sustainable value creation through better control of proprietary channels and tied agents.

Exhibit 5: 1Q26 par product mix in banca channel

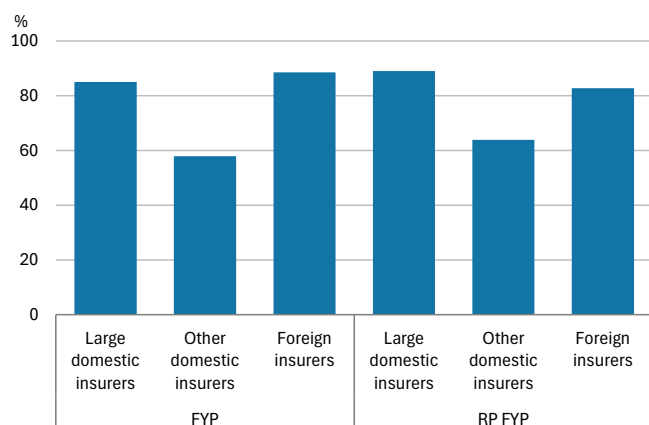


Exhibit 6: 1Q26 banca channel mix as a % of total premium vs. total asset

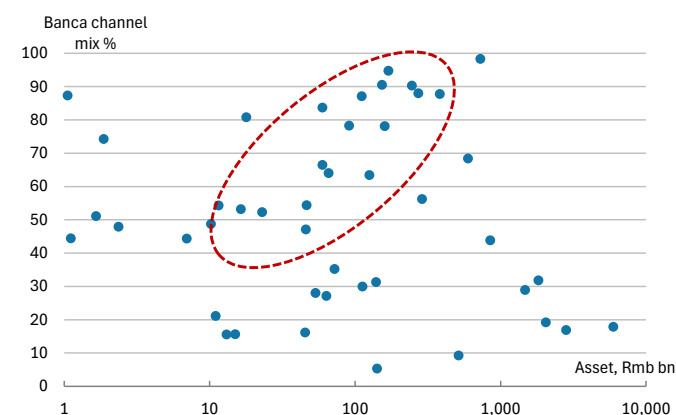
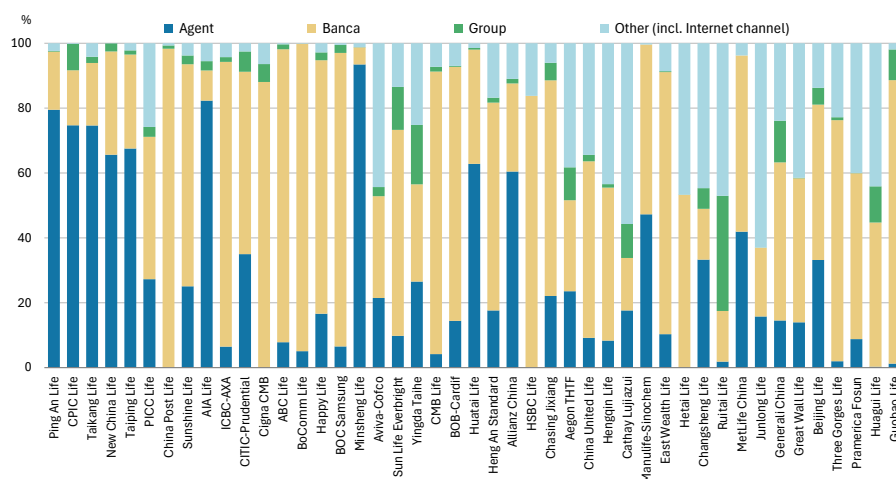


Exhibit 7:

1Q26 channel structure across insurers – gross premium basis



Big insurers are focusing on payment structure optimization, while small insurers are pushing SP sales. The “Big Seven” life insurers (incl. China Life, Ping An Life, CPIC Life, Taikang Life, New China Life, Taiping Life, and PICC Life) have increased their regular-pay FYP mix since 2023, with momentum more pronounced in 1Q26 (from <40% in 1Q25 to >60% in 1Q26, Exhibit 11). Both CPIC and NCI cut banca SP FYP by two-thirds in 1Q26 (Exhibit 12), while other insurers saw declining regular FYP mix in 2025 and 1Q26. Domestic insurers (excl. Big Seven) saw strong FYP growth in 1Q26 while RP FYP was flattish (Exhibit 9), while foreign insurers sought a balance between SP and RP growth.

Only a few SME insurers are pushing to improve their share of regular-premium products, while most unlisted insurers still rely heavily on single-premium products with limited contribution from regular premium and long-tenor products ([Exhibit 13](#)).

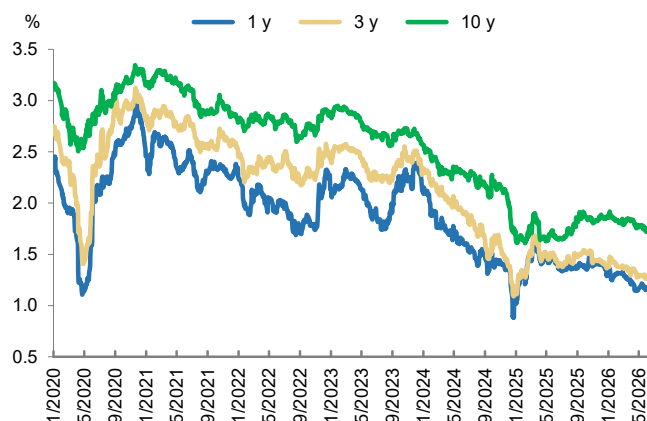
Some moderate slowdown over the rest of 2026, while large insurers maintain competitiveness. As the base rises from 2Q26, we expect some slowdown in banca growth, alongside regulatory actions to curb excessively high growth at certain insurers. The regulator's Notice No. 65 on strengthening banca fee management further restricts expense allocation across channel commissions, banca specialist compensation, training and client service fees, and allocated fixed costs, while prohibiting improper expense reallocation – shifting insurers from an “expense-driven” to a “service-driven” model. This should continue to favor large insurers, given their advantages in fixed-cost allocation and brand premium.

Steepened Yield Curve and Increased Equity Fluctuation Impact

Stabilized long-term interest rates and a steeper yield curve in 2026: China's 10-year government bond yield rebounded to ~1.8% in 2H25 after bottoming at ~1.6% in early 2025 and has remained broadly stable at this level in 2026 YTD. The yield curve has steepened, with long-end rates (30-year) rising more notably over the past year ([Exhibit 9](#)) – the 30-year/10-year treasury spread widened to 53bps in May 2026 from 22bps in May 2025, which should prove more supportive for insurers over the longer term.

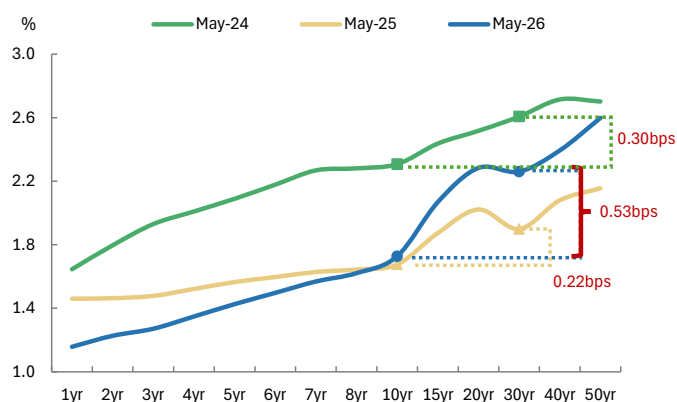
Demand for bond trading remains robust: Over the past few years, insurers have sold a large volume of long-duration products (e.g., higher sum assured whole life and par products), extending back-book liability duration. At the same time, they have not meaningfully increased bond allocations due to relatively low rates. As a result, China's life insurance sector recorded an average duration gap of 9.1 years in 3Q24, a five-year high vs. 6.6 years in 2021, according to the NAFR (National Administration of Financial Regulation). A steeper yield curve could marginally strengthen insurers' incentive to add long- and ultra-long-duration bonds vs. 2025. However, bond trading demand remains strong under this backdrop.

Exhibit 8: 10-year treasury bond yield slightly rebounded after bottoming in 1H25



Source: PBOC, CFETS, CEIC, Morgan Stanley Research

Exhibit 9: Long-duration allocation becoming more attractive as long-end yield continues to widen

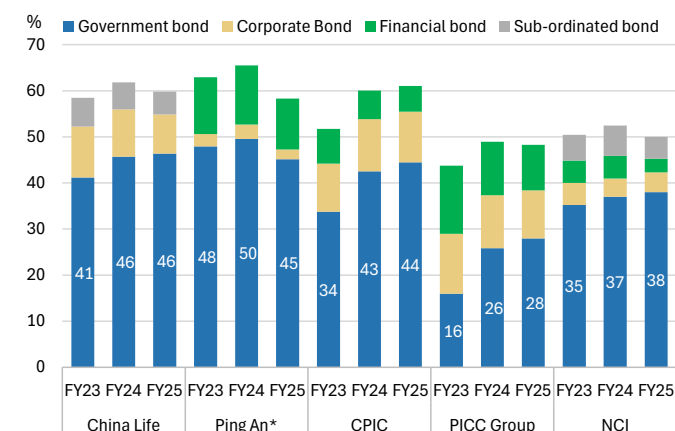


Source: PBOC, CFETS, CEIC, Morgan Stanley Research

Notably higher impact from equity volatility under IFRS 9: As most non-listed insurers adopted IFRS 9 from early 2026, equity asset classification and its impact on reported earnings have increased significantly. Leading insurers have materially raised equity allocations over the past two years, reaching ~15%–20% of total invested assets (including equities and funds), with limited room for further increases, in our view. However, equity investments can continue to grow alongside the expansion of overall insurance funds. Equity strategies vary across insurers, including high-dividend, growth-oriented, and blended approaches. While FVOCI equity exposure differs meaningfully, insurers with lower FVOCI allocations still show an incentive to gradually increase exposure to high-dividend stocks over time.

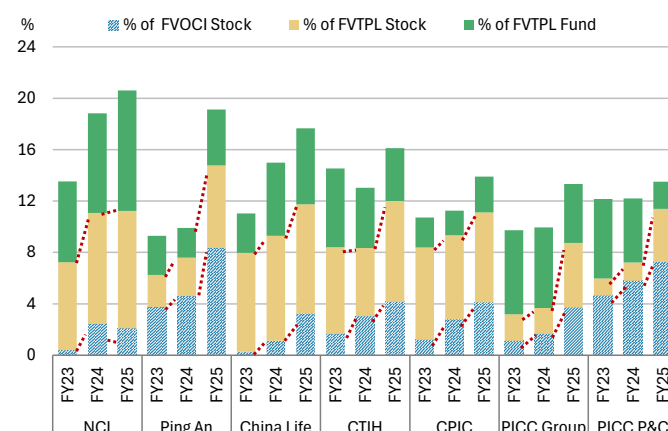
For non-listed insurers, we believe most have largely completed asset reclassification, and we do not expect further significant rebalancing following the adoption of the new accounting standards.

Exhibit 10: Listed insurers' overall bond allocation slightly declined in 2025 while government bond allocation increased



Source: Company data, Morgan Stanley Research; *Bond allocations of Ping An Bank are excluded for Ping An

Exhibit 11: Divergent FVOCI stocks allocation across listed insurers

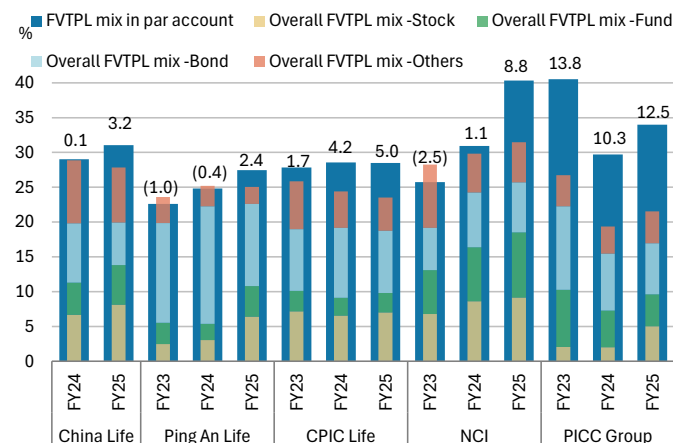


Source: Company data, Morgan Stanley Research

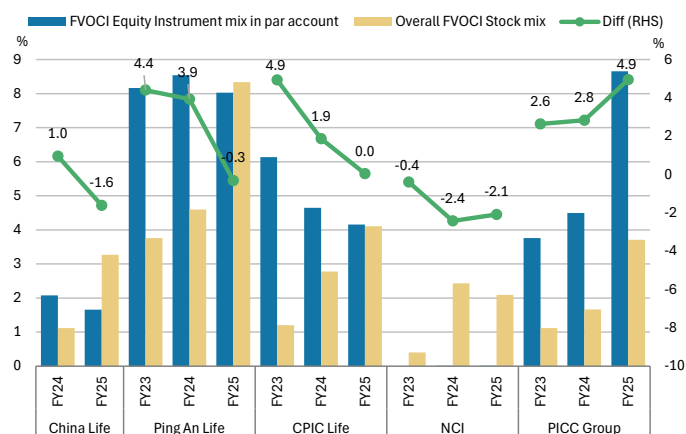
Listed insurers have increased equity allocations, especially in par accounts under IFRS

9: Benefiting from risk-sharing with policyholders, participating accounts give insurers greater flexibility to invest more proactively. Over the past three years, we have seen higher FVTPL allocations in par accounts (i.e., more assets held for trading gains, including equities, bonds, and others), while overall FVTPL allocations have remained relatively stable ([Exhibit 12](#)).

Meanwhile, although almost all listed insurers have increased FVOCI equity allocations (mainly high and stable dividend stocks), trends in par accounts diverge from non-par accounts. Ping An has maintained a broadly stable FVOCI equity mix in par accounts, while CPIC Life and China Life have continued to reduce this mix (indicating higher FVOCI equity allocations in non-par accounts). NCI has almost no FVOCI exposure in par accounts ([Exhibit 13](#)).

Exhibit 12: FVTPL mix in par accounts continues to rise

Source: Company data, Morgan Stanley Research

Exhibit 13: FVOCI equity mix in par accounts vs. overall FVOCI stock mix

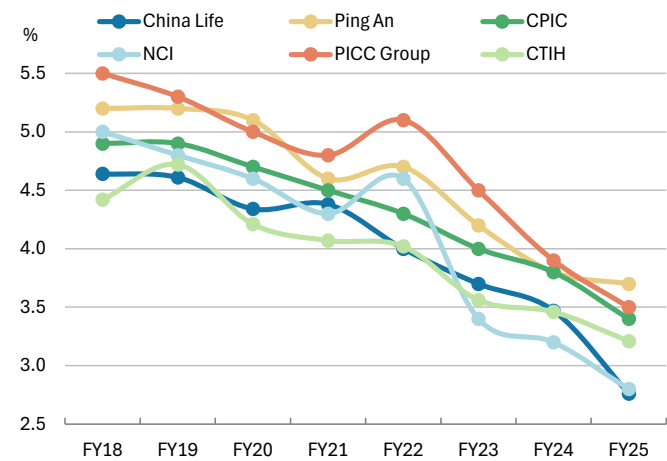
Source: Company data, Morgan Stanley Research

Large insurers also have advantages in alternative assets investment. Leading insurers are adopting more diversified allocation strategies and have expanded into a broader range of asset classes, including ABS, public and private REITs, and private equity funds. They are also increasing exposure to overseas assets and gold, driven by low interest rates, volatile equity markets, and diversification needs. The industry-wide median net investment yield was ~0.65% in 1Q26 (Exhibit 15), a low level that will likely continue to put pressure on insurers.

However, small and mid-sized insurers face greater constraints in allocating to alternative assets. These investments typically involve lower liquidity, longer duration, higher capital consumption, and tighter solvency and cash flow constraints, limiting SME participation. Large insurers remain better positioned given their scale, stronger pricing power, and superior liquidity.

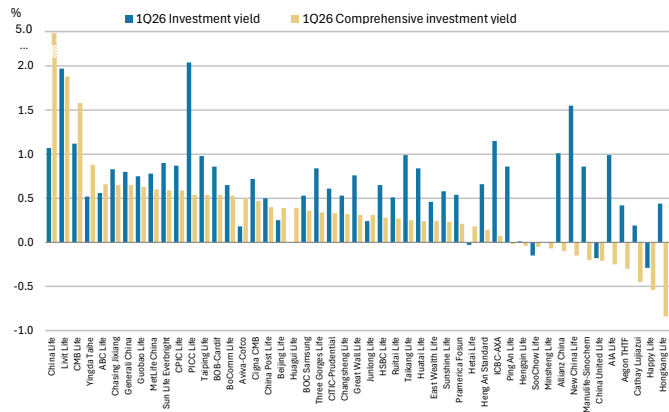
As a result, asset allocation continues to diverge across insurers. SME insurers tend to favor more standardized, transparent, and tradable assets with controlled single-asset exposure, such as publicly listed REITs. In contrast, large insurers, supported by stronger capital bases and higher risk tolerance, are better placed to explore a broader range of alternative assets.

Exhibit 14: Listed insurers' net investment yields have continuously declined over the past few years



Source: Company data, Morgan Stanley Research

Exhibit 15: In 1Q26, industry median investment yield was around 0.65%, while median comprehensive investment yield was only about 0.31%



Source: Company solvency reports, Morgan Stanley Research

Solvency remains key constraint on asset and liability management

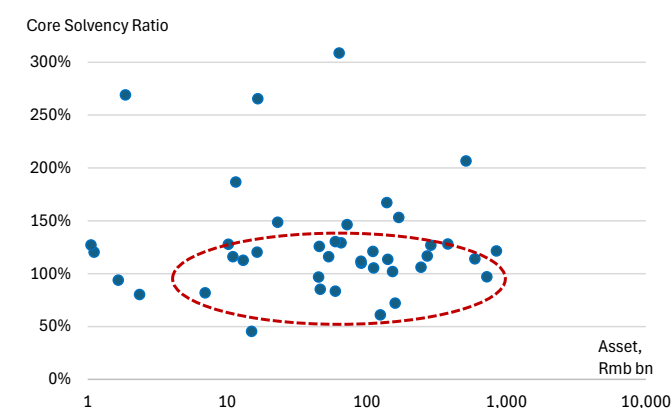
Solvency ratio pressure could continue to weigh on some insurers' asset allocation and liability growth.

The full rollout of the C-ROSS Phase II framework has tightened capital requirements. In the current low-rate environment, combined with equity market volatility and business growth opportunities, life insurers' core solvency ratios could remain under pressure. In particular, the 750-day average of China's 10-year treasury yield could continue to decline in 2026, following a notable drop in 2025.

- Based on our analysis of around 50 life insurers, the median core solvency ratio declined from ~130% in 4Q25 to ~120% in 1Q26 as the transition period expired.
- Overall, we expect core solvency ratios to moderate further to ~111% by 2Q26 under current assumptions ([Exhibit 19](#)), with nearly all insurers facing declines.
- Capital replenishment remains challenging for SME insurers.

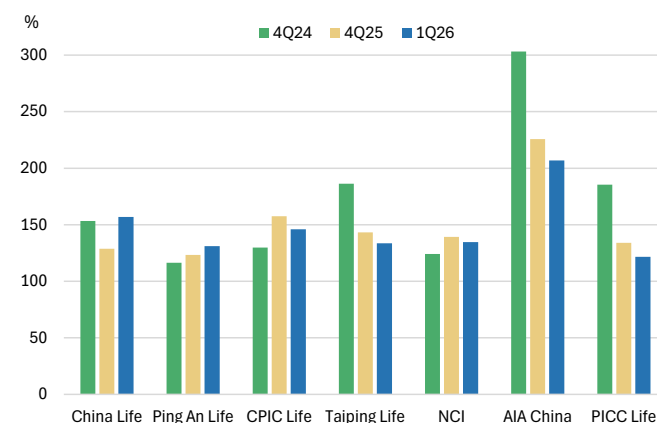
We see considerable hurdles to solvency rule revisions within the year. While regulators continue to refine the framework and have conducted industry-wide testing, results have been unsatisfactory and several technical aspects require further work. We see limited likelihood of launching C-ROSS Phase III in 2026, with implementation more likely in 2027. Capital constraints could drive further divergence across insurers in product structure, channel expansion, and asset allocation. However, we do not see systemic risk. Large insurers should maintain a capital advantage, regulators have continued to ease solvency rules and risk factors in recent years, and business quality continues to improve alongside a supportive regulatory backdrop.

Exhibit 16: Life insurers' 1Q26 solvency ratio versus total assets



Source: Company data, Morgan Stanley Research

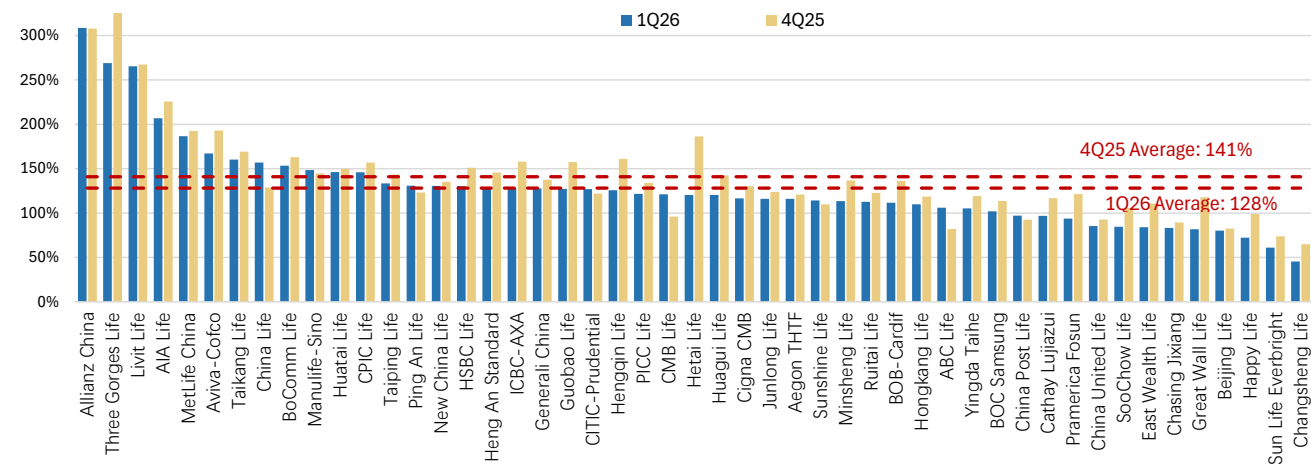
Exhibit 17: Listed insurers' solvency ratios were maintained relatively higher



Source: Company data, Morgan Stanley Research

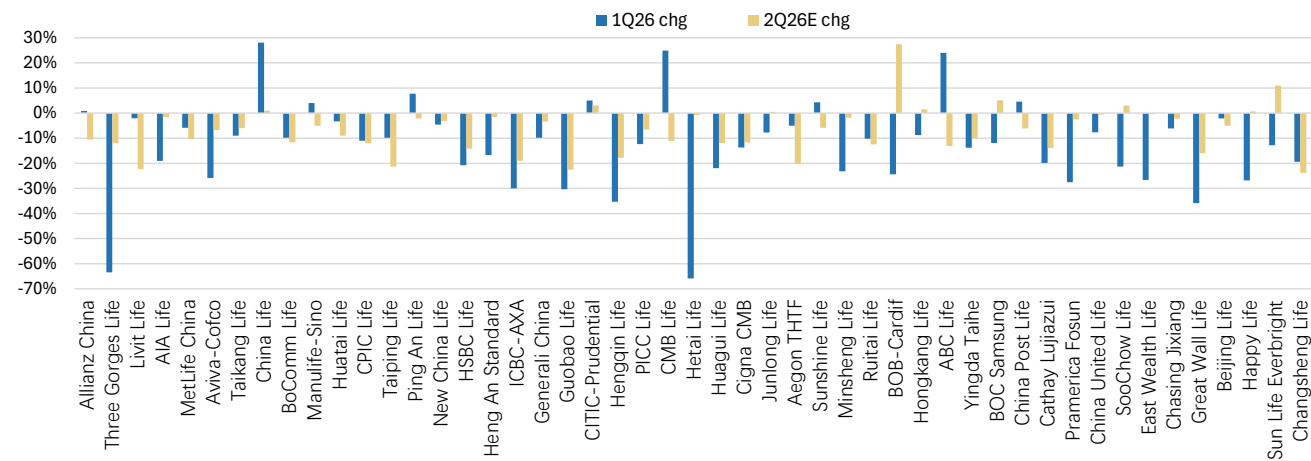
Exhibit 18:

China life insurers saw sequential decline in core solvency ratio in 1Q26.



Source: Company data, Morgan Stanley Research

Exhibit 19: 2Q26 core solvency ratios expected to decline from insurers' disclosure



Source: Company data, Morgan Stanley Research

Optimization measures continue under current operating environment

We see a broadly positive industry trajectory, with risks concentrated in select pockets, while large insurers maintain their advantages.

Overall, large life insurers deliver stable operations and solid capital positions, although some SME insurers in China's life sector may face pressure. Regulatory tailwinds over the past 2–3 years (lower pricing interest rates, tighter channel expense controls, relaxed capital rules) have delivered tangible results, and large insurers should continue to benefit. Both large and small insurers still need to implement effective measures to address operating pressure, strengthen balance sheets, mitigate risks, and enhance long-term competitiveness, including:

- 1) Differentiated investment strategies across accounts: Insurers are likely to focus more on risk mitigation in traditional accounts, while optimizing cash flows and stabilizing asset allocation in participating accounts. For universal accounts, we expect insurers to target long-term returns while adhering to guaranteed return constraints.
- 2) Tailored product development and sales strategy: Insurers can enhance liability quality and stabilize cash flow structures through product design and sales strategies tailored to their specific conditions. This should also create greater flexibility for long-term asset allocation and duration management.
- 3) Varied priorities to address near-term risks and long-term competitiveness, reflecting differences in size and risk profiles across China's life insurers.

For small and mid-sized insurers, key priorities include managing interest spreads and cash flows by lowering liability costs, optimizing pricing, reducing expenses, and stabilizing product cash flows. Sustainable operations and differentiated growth driven by pricing discipline, improved cost efficiency, optimized channel structures, and more stable liability profiles should support long-term competitiveness.

For large insurers that have adopted IFRS 9 and IFRS 17, focus areas include ALM (asset–liability management), account tiering, duration matching, and interest rate risk hedging. Industry debate continues on whether duration matching can fully immunize interest rate movements under the IFRS 9/17 framework. Given the current low-rate environment, we view duration matching as a lower near-term priority. Over the long term, leading insurers should build competitive advantages through service ecosystems, distribution capabilities, long-term investment expertise, and strong management of participating and universal accounts.

Among our coverage, **Ping An (2318.HK)** and **China Life (2628.HK)** should continue to strengthen their balance sheets and business advantages, despite differences in investment strategies. AIA China also continues to demonstrate a focused, high-quality model. While **AIA (1299.HK)** has faced temporary pressure from concerns over potential regulatory tightening on MCV (mainland China visitor) business, we believe the impact should remain limited and investor reaction appears overdone (see our recent report [Hong Kong/China Insurance: Cross-border Insurance Sales: Why We Think Regulatory Impact Could Be Limited \(3 Jun 2026\)](#)).

Exhibit 20: We think some key measures could help insurers to mitigate risks and improve long-term competitiveness but could have differentiated effects on large and SME insurers

Key Measures	Risk Mitigation		Long-term Competitiveness		Core Differentiation
	Large Insurers	Small/Mid Insurers	Large Insurers	Small/Mid Insurers	
Diversified asset allocation (high-dividend / innovative fixed-income)	☆☆☆☆	☆☆☆	☆☆☆☆☆	☆☆☆	For large insurers: enhances long-term returns and spread resilience with stronger allocation and risk control capabilities; For small/mid insurers: steadily improves NIY with constraints in capital, volatility, and governance
Extending asset duration (ultra-long gov't bonds / infrastructure)	☆☆☆☆	☆☆	☆☆☆	☆☆	For large insurers: structurally repairs duration mismatch, enabling steady-state allocation; For small/mid insurers: more constrained by low-rate cost-effectiveness and capital/liquidity limits
Interest rate risk hedging (derivatives + hedging)	☆☆☆☆	☆☆	☆☆	☆	High barriers in technology, systems, and governance; primarily a defensive tool for large insurers, limited contribution to long-term competitiveness
Duration gap management (ALM)	☆☆☆☆☆	☆☆	☆☆☆	☆☆☆	Large insurers have longer duration, larger duration gaps, and higher volatility under IFRS 17; Duration issues are relatively less important for small/mid insurers
Lowering guaranteed rates / pricing control	☆☆☆	☆☆☆☆	☆☆☆	☆☆☆☆☆	Small/mid insurers rely more on rapid reduction in new business liability costs to stabilize spreads, which is the key competitiveness. Large insurers have large in-force books with long duration, making legacy risk management more important, while coordination with product mix and value-oriented operations are also necessary
Increasing par/universal product proportion	☆☆☆	☆☆☆	☆☆☆☆	☆☆☆	Both large and small/mid insurers can reduce liability costs and enhance liability flexibility to help better cope with external uncertainty; Leading insurers can better leverage ALM capabilities to support par product competitiveness.
Health insurance & protection transformation (services / customers / ecosystem)	☆☆	☆☆	☆☆☆☆☆	☆☆☆☆	Limited effect for short-term risk mitigation; but could stem long-term competitiveness from the 'services + ecosystem + customer stickiness' moat; Leading insurers have greater advantages in investment and execution.
Product duration structure adjustment (balancing long and short duration liabilities)	☆☆	☆☆	☆☆	☆☆☆	In a low-rate environment, extending liability duration through high-quality and low-cost policies is meaningful for both large and small/mid insurers; Small/mid insurers can improve cash flow flexibility; A tactical tool for large insurers
Reduce expense ratio (commission fee control / channel optimization)	☆☆☆	☆☆☆☆☆	☆☆☆	☆☆☆☆☆	Expense control and cost efficiency improvement are key capabilities for small/mid insurers' long-term survival and expansion; commission fee control and expense reduction are a reliable improvement lever and the fastest-acting variable
Cash flow and liquidity stress management	☆☆☆	☆☆☆☆	☆☆☆	☆☆☆	No direct excess returns in the long-term competitiveness dimension, but determines whether a company—especially small/mid insurers—can survive a downturn cycle and maintain strategic resolve

Source: Morgan Stanley Research

Valuation Methodology and Risks

AIA Group Ltd (1299.HK)

Appraisal value, probability-weighted 50% base, 30% bull, 20% bear. Balance reflects increased market debate about AIA's long-term growth trends vs. healthy shareholder return. We use solid 1x embedded value plus new business multiples for VNB to get our base case valuation. Our NBM assumptions are derived from our expectations for each market, with terminal growth rates of 1-2% and risk discount rates of 11- 15%.

Risks to Upside

- Strong VNB growth esp. in China & HK, along with improved margin
- Higher interest rates in CN, or lower rates in the US
- Key financial metrics back to healthy growth trajectory
- More policy support on MCV business
- Increased shareholder return

Risks to Downside

- Slowdown in VNB growth and declining margins
- Key financial metrics decline
- Slowdown in regional economic growth
- Regulatory restriction on MCV business

Ping An Insurance Group Co of China Ltd (2318.HK)

Base case. We value Ping An's business using a three-stage DDM model, assuming 33%, 50%, and 68% dividend payouts in the three stages of 2026-28, 2029-34, and >2034, respectively, and corresponding dividend growth rates of 6%, 26%, and 2%. We assume a base-case cost of capital at 12%.

Risks to Upside

- Recovered OPAT growth, especially on AM segment
- Faster-than-expected Life VNB growth with improved margin
- Stable increased DPS
- A-share rally
- Stable agent force with increased productivity
- More value creation from its ecosystems and integrated finance.

Risks to Downside

- Volatile equity market and interest rate in China
- Persistently low rate or elevated assets and property risks
- Lower capital level and DPS

China Life Insurance Co Ltd (2628.HK)

Our price target is our base case scenario value, derived from a three-stage dividend discount model assuming 27%, 58% and 80% dividend payouts in the three stages (2026-28, 2029-34, and >2034), respectively, and corresponding dividend growth rates of 9%, 30% and 2%. We

apply a 12% cost of capital. The implied 2026E P/B ratio for China Life is 1.41x.

Risks to Upside

- Equity market rally that increases profitability
- Interest rate rise
- Continued strong progress in productivity gains and stronger-than-expected VNB growth
- More southbound inflows
- More marketization reform outcomes
- Increased payout ratio

Risks to Downside

- Declines in A-share market and interest environment
- Deterioration in VNB growth and lukewarm demand

Ping An Insurance Group Co of China Ltd (601318.SS)

Base case. We apply a 10% cost of capital and 2% terminal growth rate, and value Ping An Life at 1.2x EV based on its 2026-28E ~12% average ROEV. We value Ping An Bank at 0.55x BV and Ping An P&C at 1.1x BV. AM segment could continue to be a small drag in the near term.

Risks to Upside

- Recovered OPAT growth, especially on AM segment
- Faster-than-expected Life VNB growth with improved margin
- Stable increased DPS
- A-share rally
- Stable agent force with increased productivity
- More value creation from its ecosystems and integrated finance.

Risks to Downside

- Volatile equity market and interest rate in China
- Persistently low rate or elevated assets and property risks
- Lower capital levels and DPS

China Life Insurance Co Ltd (601628.SS)

Base case. We use a P/EV approach and derive our valuation multiple from a Gordon Growth model. We value China Life at 0.79x 2026E P/EV based on its 9% base case ROEV profile, 11% cost of capital, and 2% terminal growth.

Risks to Upside

- Equity market rally that increases profitability
- Interest rate rise
- Continued strong progress in productivity gains and stronger-than-expected VNB growth
- More southbound inflows
- More marketization reform outcomes
- Increased payout ratio

Risks to Downside

- Declines in A-share market and interest environment
- Deterioration in VNB growth and lukewarm demand

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

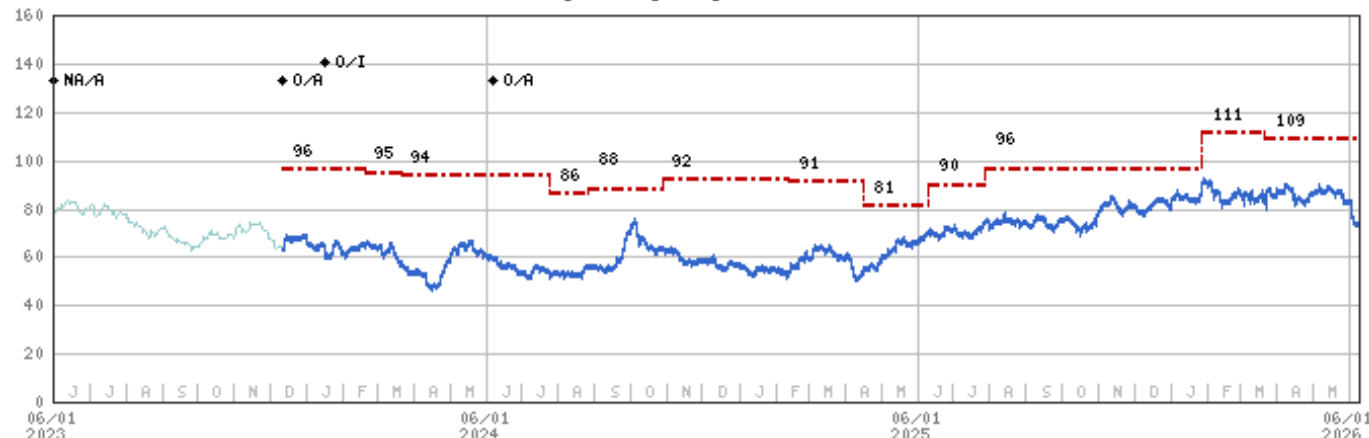
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

AIA Group Ltd (1299.HK) - As of 06/09/26 GMT in HKD
Industry : Hong Kong/China Insurance



Stock Rating History: 6/1/21 : O/A; 9/9/21 : O/I; 1/6/23 : O/A; 3/19/23 : NA/A; 5/11/23 : NA/NR; 5/30/23 : NA/A; 12/12/23 : O/A; 1/17/24 : O/I; 6/7/24 : O/A

Price Target History: 4/7/21 : 130; 2/23/22 : 124; 7/20/22 : 111; 8/26/22 : 112; 2/27/23 : 108; 3/10/23 : 113; 3/19/23 : NA; 12/12/23 : 96; 2/19/24 : 95; 3/21/24 : 94; 7/25/24 : 86; 8/26/24 : 88; 10/28/24 : 92; 2/12/25 : 91; 4/16/25 : 81; 6/10/25 : 90; 7/28/25 : 96; 1/28/26 : 111; 3/22/26 : 109

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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China Life Insurance Co Ltd (2628.HK) - As of 06/09/26 GMT in HKD
Industry : Hong Kong/China Insurance



Stock Rating History: 6/1/21 : E/A; 9/9/21 : E/I; 1/6/23 : E/A; 3/17/23 : NA/A; 5/11/23 : NA/NR; 5/30/23 : O/A; 1/17/24 : O/I; 6/7/24 : O/A

Price Target History: 12/3/20 : 20; 9/9/21 : 14; 3/30/22 : 13.3; 7/27/22 : 12; 11/11/22 : 11; 1/6/23 : 14; 2/23/23 : 15; 3/17/23 : NA; 5/30/23 : 21; 8/2/23 : 20; 9/29/23 : 18; 1/17/24 : 12.3; 3/5/24 : 12.4; 6/7/24 : 15.8; 9/23/24 : 16.1; 2/25/25 : 17.2; 4/16/25 : 15.2; 7/31/25 : 25; 9/19/25 : 25.7; 2/26/26 : 43.1; 4/13/26 : 37.9; 5/4/26 : 38.9

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

China Life Insurance Co Ltd (601628.SS) - As of 06/09/26 GMT in CNY
Industry : Hong Kong/China Insurance



Stock Rating History: 6/1/21 : U/A; 9/9/21 : U/I; 1/6/23 : E/A; 3/17/23 : NA/A; 5/11/23 : NA/NR; 5/30/23 : E/A; 1/17/24 : E/I; 6/7/24 : E/A

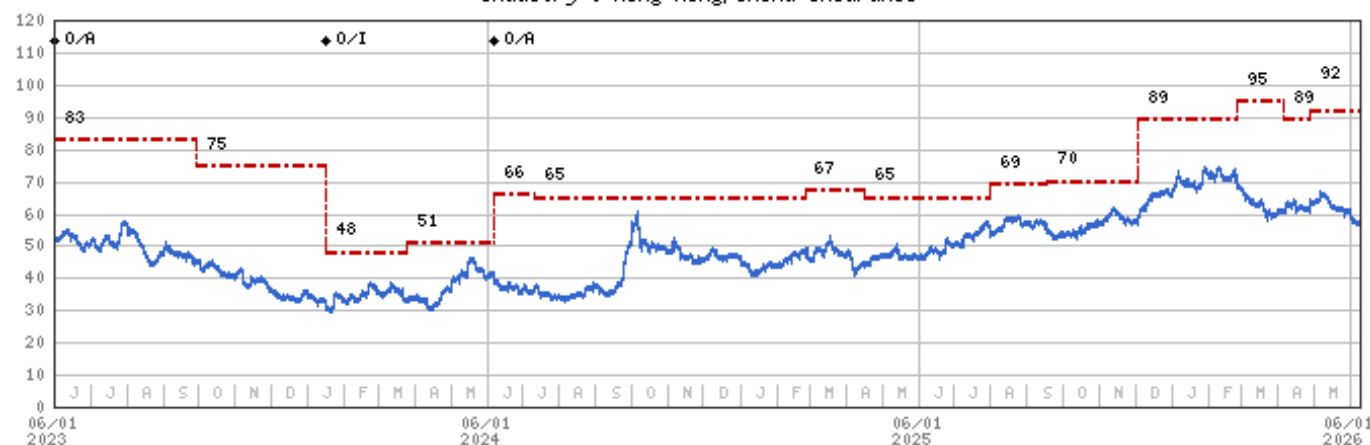
Price Target History: 12/3/20 : 17; 9/9/21 : 11; 7/27/22 : 10; 1/6/23 : 37; 2/23/23 : 36; 3/17/23 : NA; 5/30/23 : 40; 8/2/23 : 39; 9/29/23 : 38; 1/17/24 : 30; 6/7/24 : 32.5; 9/23/24 : 34.4; 2/25/25 : 41.7; 4/16/25 : 39.5; 7/31/25 : 44.9; 9/19/25 : 42.8; 2/26/26 : 51.1; 4/13/26 : 43.7; 5/4/26 : 44.7

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Ping An Insurance Group Co of China Ltd (2318.HK) - As of 06/09/26 GMT in HKD
Industry : Hong Kong/China Insurance



Stock Rating History: 6/1/21 : O/A; 9/9/21 : O/I; 1/6/23 : O/A; 3/17/23 : NA/A; 5/11/23 : NA/NR; 5/30/23 : O/A; 1/17/24 : O/I; 6/7/24 : O/A

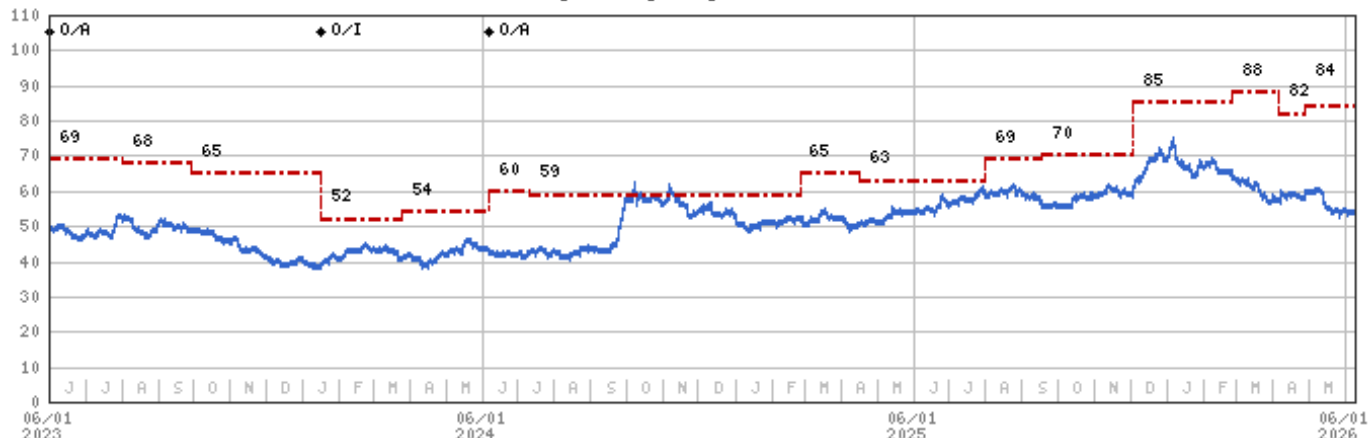
Price Target History: 2/9/21 : 118; 9/9/21 : 82; 2/25/22 : 73; 7/27/22 : 74; 8/25/22 : 69; 11/3/22 : 61; 1/6/23 : 81; 2/23/23 : 83; 3/17/23 : NA; 5/30/23 : 83; 9/29/23 : 75; 1/17/24 : 48; 3/25/24 : 51; 6/7/24 : 66; 7/11/24 : 65; 2/25/25 : 67; 4/16/25 : 65; 7/31/25 : 69; 9/18/25 : 70; 12/4/25 : 89; 2/26/26 : 95; 4/6/26 : 89; 4/29/26 : 92

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Ping An Insurance Group Co of China Ltd (601318.SS) - As of 06/09/26 GMT in CNY
Industry : Hong Kong/China Insurance



Stock Rating History: 6/1/21 : O/A; 9/9/21 : O/I; 1/6/23 : O/A; 3/17/23 : NA/A; 5/11/23 : NA/NR; 5/30/23 : O/A; 1/17/24 : O/I; 6/7/24 : O/A

Price Target History: 2/9/21 : 99; 9/9/21 : 69; 2/25/22 : 61; 8/25/22 : 60; 11/3/22 : 56; 1/6/23 : 67; 3/17/23 : NA; 5/30/23 : 69; 8/2/23 : 68; 9/29/23 : 65; 1/17/24 : 52; 3/25/24 : 54; 6/7/24 : 60; 7/11/24 : 59; 2/25/25 : 65; 4/16/25 : 63; 7/31/25 : 69; 9/18/25 : 70; 12/4/25 : 85; 2/26/26 : 88; 4/6/26 : 82; 4/29/26 : 84

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Hong Kong/China Insurance

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/09/2026)
Richard Xu, CFA		
AIA Group Ltd (1299.HK)	O (12/12/2023)	HK\$71.00
FWD Group Holdings Ltd (1828.HK)	O (08/13/2025)	HK\$29.90
Ping An Insurance Group Co of China Ltd (2318.HK)	O (05/30/2023)	HK\$56.90
Ping An Insurance Group Co of China Ltd (601318.SS)	O (05/30/2023)	Rmb53.93
Rick Zhao		
China Life Insurance Co Ltd (601628.SS)	E (05/30/2023)	Rmb33.14
China Life Insurance Co Ltd (2628.HK)	O (05/30/2023)	HK\$27.38
China Pacific Insurance Group Co Ltd (601601.SS)	O (06/07/2024)	Rmb31.55
China Pacific Insurance Group Co Ltd (2601.HK)	O (05/30/2023)	HK\$31.68
China Taiping Insurance Holdings Co Ltd (0966.HK)	E (05/30/2023)	HK\$19.77
New China Life Insurance Company Ltd (601336.SS)	U (05/30/2023)	Rmb55.87
New China Life Insurance Company Ltd (1336.HK)	U (07/31/2025)	HK\$47.28
PICC Group (1339.HK)	O (09/23/2024)	HK\$5.06
PICC Group (601319.SS)	E (07/31/2025)	Rmb6.61
PICC P&C Company Ltd (2328.HK)	O (05/30/2023)	HK\$14.83
ZhongAn Online P & C Insurance Co Ltd (6060.HK)	O (05/30/2023)	HK\$10.55

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* Historical prices are not split adjusted.